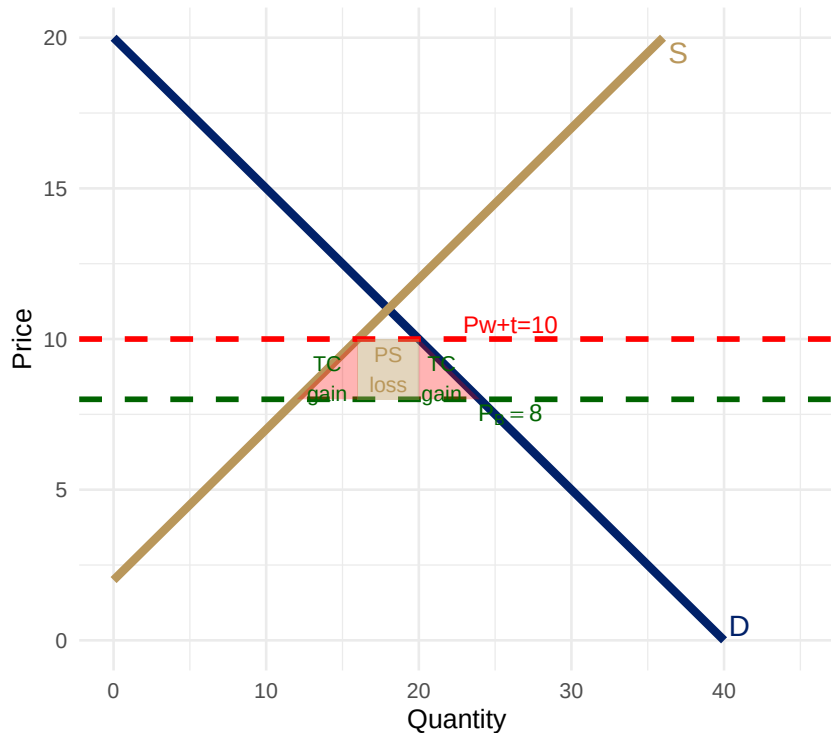


Free Trade Area: Trade Creation (Beneficial) vs Trade Diversion (Harmful)

Net welfare = TC - TD. FTA beneficial only if TC > TD

Trade Creation

Domestic production → cheaper partner imports



Trade Diversion

Imports shift from cheap ROW to dearer partner — net welfare loss

